Sorabji's experience and expertise was again on display in his memoranda before the Bombay Provincial Banking Enquiry Committee and the ICBEC. Sorabji showed the same courage which had distinguished him in the early part of his career. In his memorandum to the former, he described at length the unhealthy competition of the Imperial Bank of India and the foreign exchange banks with Indian joint-stock banks. Sorabji, who was the unofficial spokesman of the Indian management of Indian banks, explained how the Imperial Bank opened branches simply because joint-stock banks had branches in those areas and closed them on finding insufficient business. They also took away lending business from the joint-stock banks by lowering their interest rates to uneconomic levels. Sorabji countered the argument that the agriculturists would benefit from lower lending rates by arguing that the interest rate benefit was taken by a few traders and middlemen and was not available to the producers or consumers. He also pointed out that the exchange banks got cheap money from abroad and this allowed them to undercut the Indian banks in the lending business. With their low cost funds, prestige, and large turnover, the foreign banks were in a highly advantageous position while the profit margins of Indian banks were affected by the unhealthy competition.

Sorabji told the ICBEC that the interests of the general public lay with the Indian banks in the long-run, and therefore it would be wrong to accuse him of looking at things from the narrow perspective of an individual joint-stock bank. He favoured some form of protection to Indian banks by imposing certain restrictions on the business which the exchange banks were allowed to transact. He wanted the banking hours of all banks to be uniform and advocated that foreign banks should be prevented from raising deposits in India and should bring their resources from their own country. Sorabji's deposition drew attention to the constraints under which Indian banks operated in those days.

Sorabji also envisaged the need for institutions like ICICI and IDBI, when he pleaded before the ICBEC for an industrial bank to provide long-term capital for industry. He also advocated a Reserve Bank which would end the anomaly of the Imperial Bank acting in all three roles of a commercial bank, a government bank, and a banker's bank. He wanted the Imperial Bank and all other banks to be placed at par, functioning directly under the control and supervision of the Reserve Bank. He was also of the